

Salesforce, Inc. (NYSE: CRM)

Software / Enterprise Cloud & Agentic AI Platforms

BUY	Current Price	\$192.98	Target Price (12-mo)	\$223.23	Implied Upside	+15.7%
-----	---------------	----------	----------------------	----------	----------------	--------

Market Cap	Enterprise Value	52-Wk Range	Shares Out.	Rating	Prepared By
\$168.1B	\$195.5B	\$146 - \$269	871M	BUY	Sofia Kolaro

Roadmap: How This Report Is Organized

1. Data Box

The model's key financial and valuation statistics, at a glance.
2. Investment Thesis

The rating, price target, and the reasoning behind them.
3. Industry Analysis

Where Salesforce's moat comes from, and what could erode it.
4. Company Analysis

Tests that moat with company-specific growth and returns evidence.
5. Financial Analysis

Checks whether the balance sheet and cash flow corroborate it.
6. Forecast Assumptions

The assumptions that feed the model driving the valuation.
7. Valuation

The DCF, reverse DCF, and trading comps behind the target.
8. Conclusion

States plainly what would prove this wrong.

Figure 1. CRM Share Price, July 2021 - August 2026



CRM peaked near \$348 in December 2024 on enthusiasm for the initial AI launch, then declined by more than half through mid-2025 as investors reassessed the pace of AI monetization against a decelerating subscription growth rate. The stock continued drifting lower into 2026, closing near \$177 in April, then fell further to \$169.52 (July 7, 2026) and \$163.00 (July 22, 2026), before recovering to \$183.27 (July 28, 2026) and further to \$192.98 (August 5, 2026) — the closing price used throughout this report — still down roughly 45% from the December 2024 peak, a gap wide enough that the valuation case this thesis is built on remains largely intact.

Data Box: Key Financial & Valuation Statistics

All figures below are pulled directly from the accompanying financial model (Salesforce Fundamental Analysis.xlsx) — the Annual IS/BS/CF, WACC, and DCF tabs — and reflect the model's most recently updated Base Case output.

VALUATION		PROFITABILITY (FY2026A)	
Current Price (8/5/2026 close)	\$192.98	Gross Margin	77.7%
Target Price (12-mo, DCF Base)	\$223.23	Operating Margin (GAAP)	20.1%
Market Capitalization	\$168,086M	EBITDA Margin	34.1%
Enterprise Value	\$195,529M	Net Margin	18.0%
EV / Revenue (FY26A)	4.71x	FCF Margin	34.7%
EV / EBITDA (FY26A)	13.81x	Rule of 40 (Growth + FCF Margin)	44.3%
P / FCF (FY26A)	11.67x	SG&A % of Revenue (FY26A)	41.8%
Net Debt / EBITDA (FY26A)	1.94x	Pretax Margin % (FY26A)	22.9%

RETURNS (DUPONT, FY2026A)		FORECAST METRICS (Base Case, FY27E-31E)	
Diluted EPS (FY26A)	\$7.80	Revenue Growth (FY27E)	10.9%
Return on Equity (Net Margin × Turnover × Leverage)	12.4%	Revenue CAGR (FY26A-31E)	9.0%
Return on Assets	6.9%	EBIT Margin (FY27E → FY31E)	20.6% → 22.5%
Net Debt (1Q FY27A)	\$27,443M	Unlevered FCF (FY27E)	\$12,817M
Debt / Equity (1Q FY27A)	~1.15x	Unlevered FCF CAGR (FY27E-31E)	7.9%

VALUATION ASSUMPTIONS	
WACC	10.13%
Terminal Growth Rate (Base)	3.00%
Beta (5-Yr Monthly)	1.18
Cost of Debt (pre-tax)	5.20%
Cost of Equity (CAPM)	11.12%

EV/Revenue, EV/EBITDA, and P/FCF are computed on FY2026A actuals against the model's current enterprise value and market capitalization, both of which use Salesforce's August 5, 2026 closing price of \$192.98. Net Debt and the resulting leverage ratios reflect 1Q FY2027A (the most recent

actual quarter), which captures the balance-sheet impact of the \$25B debt-funded accelerated share repurchase completed in that quarter. A full five-peer trading-comparables table appears in the Valuation section.

Reading the Data Box

- **Margin expansion is the real story.** GAAP operating margin has risen from roughly 2% four years ago to 20.1% today, while FCF margin has reached 34.7% even as recent quarterly revenue growth has re-accelerated into the double digits (13.3% YoY in 1Q FY2027A).
- **The profitability profile is competitive, even if it does not lead the peer set.** Salesforce's 34.1% EBITDA margin ranks in the upper half of its comps — above Workday (11.2%), ServiceNow (24.3%), and SAP (32.4%), but below Oracle (41.6%) and Adobe (40.1%). Its 44.3% Rule-of-40 score also clears the SaaS industry's widely used 40-point benchmark, reinforcing a healthy balance between growth and profitability and providing useful context for Salesforce's broader competitive positioning.
- **The balance sheet still has capacity to fund the strategy.** Net Debt/EBITDA remains modest at 1.94x even after the FY2027 debt-funded buyback, while unlevered FCF is projected to grow from \$12.8 billion at a 7.9% CAGR through FY2031E. That cash generation provides room for continued reinvestment while simultaneously supporting deleveraging.
- **Returns on capital still have room to improve.** ROE of 12.4% and ROA of 6.9% are less compelling than the margin profile, while ROIC only crossed above that year's own WACC (11.09%) in FY2026A. Together, these metrics suggest Salesforce is still early in translating its improved operating efficiency and scale into stronger shareholder returns — a trajectory explored more in depth in the Company Analysis section.

Investment Thesis

Salesforce is rated BUY with a twelve-month target price of \$223.23 (DCF Base Case), implying 15.7% upside from the August 5, 2026 closing price of \$192.98. The investment case rests on a disconnect between Salesforce's improving business fundamentals and the expectations embedded in its current valuation. While the company has returned to double-digit growth, expanded margins, and continued to strengthen cash generation, the market continues to price the business as though those improvements will prove unsustainable. This report argues that the gap reflects overly pessimistic expectations rather than deteriorating fundamentals. Accordingly, the valuation is driven by continued execution of the core business, with Agentforce representing additional upside — not a requirement for the investment case. As an external cross-check, the target also remains below the roughly \$241.72 sell-side consensus across 53 analysts.

Why This Rating

- **Valuation gap, not hypergrowth.** Revenue growth moderates from 10.9% (FY2027E) to a 9.0% five-year CAGR (FY2026A–FY2031E), while EBIT margin expands from 20.6% to 22.5% — a conservative continuation of current trends, not an optimistic re-acceleration.
- **Reverse DCF confirms the mispricing.** The current price implies a discount rate near 11.10% (vs. a 10.13% WACC) or terminal growth near 1.7% — neither consistent with an investment-grade issuer that beat its own margin guidance last quarter.
- **Comps confirm the discount.** Against a five-company peer set (Workday, Oracle, ServiceNow, SAP, Adobe), CRM trades at 13.8x TEV/EBITDA and 22.5x P/E versus peer medians of 20.5x and 32.8x, despite a Rule-of-40 score of 44.3%.
- **AI extends the existing moat rather than founding a new one.** The ROIC–WACC spread, negative as recently as FY2025A, turns positive in FY2026A and widens throughout the forecast period without relying on incremental AI monetization. Agentforce is therefore treated as upside to that trajectory. Early evidence is encouraging: combined Agentforce and Data 360 ARR reached roughly \$3.4 billion in 1Q FY2027A, growing more than 200% year over year from a very small base.

- **Leverage reflects capital allocation, not operating weakness.** The 1Q FY2027A debt-funded buyback raised net debt to \$27.4 billion in the same quarter Salesforce delivered 13.3% revenue growth and a record 34.8% non-GAAP operating margin.

Catalysts

Four observable developments could narrow the gap between Salesforce's current valuation and this report's base-case assumptions, roughly in order of when they should become visible:

- **Continued Agentforce and Data 360 ARR acceleration.** Upcoming quarterly disclosures provide the clearest near-term test of AI monetization. Sustained acceleration from Agentforce's \$1.2 billion ARR in 1Q FY2027A would provide evidence that AI is becoming a meaningful incremental growth driver and could support a higher growth multiple.
- **Sustained margin execution.** Maintaining non-GAAP operating margin at or above the record 34.8% reached in 1Q FY2027A over the next several quarters would strengthen confidence in continued GAAP EBIT margin expansion and reduce the risk that recent profitability gains prove temporary.
- **Visible deleveraging ahead of upcoming maturities.** Paydown of the \$3.5 billion notes due March 2028 and \$4.25 billion due March 2029 — or EBITDA growth that lowers leverage organically — would demonstrate balance-sheet normalization following the FY2027A debt issuance and could reduce the leverage discount embedded in the shares.
- **Evidence that AI monetization is additive to existing economics.** Continued Agentforce growth alongside a Rule-of-40 score at or above the 44.3% achieved in FY2026A would provide evidence that AI-based pricing is adding to Salesforce's growth and profitability profile instead of substituting for existing revenue or pressuring margins.

Industry Analysis

Where the moat comes from, and what could erode it.

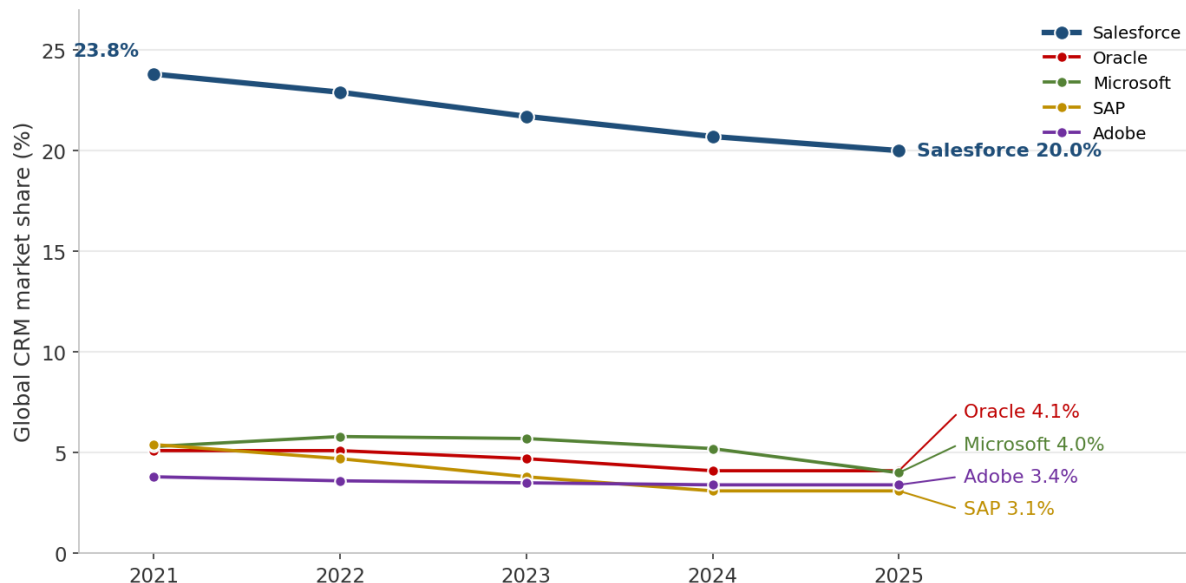
Salesforce competes in enterprise CRM software, a large, structurally attractive market now navigating a second major business-model transition — from per-seat SaaS licensing toward agentic, consumption-based AI. This section focuses on what directly influences Salesforce's growth, margin, and competitive-positioning assumptions that appear throughout the report — not a general industry survey.

Market Overview and Share Trend

Market size estimates vary, but the broader conclusion is consistent across sources: **CRM remains one of the largest and fastest-growing segments of enterprise software.** Fortune Business Insights estimates the global CRM market at \$126.2 billion in 2026, growing at a 12.4% CAGR, while Gartner projects the narrower CRM sales-software segment to grow at a 12.8% CAGR through 2029. The industry is best classified as Growth rather than Defensive or Cyclical, with demand driven primarily by enterprise technology-adoption and digitalization cycles, not GDP, although IT budgets remain exposed to near-term pressure in a weaker macro environment (further explored in the Risks section).

Against that backdrop, Salesforce's competitive position remains strong, but it is no longer gaining market share. Global CRM market share declined from 21.7% in 2023 to 20.7% in 2024 and 20.0% in 2025, according to IDC's Worldwide Semiannual Software Tracker, even as Salesforce retained the #1 position for a 13th consecutive year (per Salesforce's 2026 newsroom announcement citing the same IDC tracker). This modest decline does not undermine the investment case: the CRM market continues to expand, and the thesis does not depend on further share gains. Instead, it assumes **Salesforce can defend its leadership in a structurally growing market while converting that scale into higher margins, stronger cash flow, and improving returns on capital.**

Top 5 Global CRM Vendors — Market Share, 2021-2025



Combined share of vendors outside this top 5 rose from 56.6% (2021) to 65.4% (2025) — the market is fragmenting even as Salesforce holds a ~4.9x lead over its nearest rival.

Top 5 global CRM vendors by market share, 2021–2025. Salesforce figures for 2023–2025 per Salesforce’s newsroom citations of IDC’s Worldwide Semiannual Software Tracker (as cited throughout this report); 2021–2022 Salesforce figures and all competitor and “Others” figures per IDC’s Semiannual Core AI Software Tracker, H2 2025, as compiled by CX Foundation (June 2026). The 2024–2025 Salesforce, Oracle, and Microsoft figures — and the Oracle-overtakes-Microsoft finding specifically — are independently corroborated by a second compiler (CRM Switch, citing the same IDC tracker vintage); SAP and Adobe figures are approximate in both sources, since IDC does not publicly disclose exact shares below the top three vendors. Note: IDC’s H2 2025 tracker vintage restates Salesforce’s 2023 share as 22.1% versus the 21.7% used elsewhere in this report (from IDC’s original April 2024 vintage) — a ~0.4pp difference from normal between-vintage revision, not a data error; it does not affect any conclusion here.

Two trends stand out beyond Salesforce’s own share decline. First, Oracle overtook Microsoft as the #2 CRM vendor in 2025, as Microsoft’s share fell from 5.2% to 4.0% while Oracle remained roughly stable at 4.1% — a larger one-year shift than Salesforce experienced. Second, vendors outside the top five expanded their combined share from 56.6% in 2021 to 65.4% in 2025, indicating that the market is fragmenting rather than consolidating around the largest incumbents. That fragmentation provides a second, independent basis for the **Narrow moat** assessment below: scale advantages remain meaningful, but have not prevented smaller competitors from capturing a growing share of the market. Importantly, Salesforce’s declining share does not appear to reflect displacement by any single challenger. At 20.0% share, Salesforce remains roughly 4.9x the size of its nearest competitor, Oracle at 4.1%, versus a roughly 3.8x lead over its nearest rival in 2023. The result is a market that is becoming more fragmented beneath an entrenched leader: Salesforce is ceding share at the margin, but its lead over any individual competitor has actually widened.

The Seat-to-Consumption Pricing Transition

Traditional SaaS monetization is built around per-user, per-month subscriptions. Agentic AI challenges that model: as autonomous agents perform work previously completed by licensed users, seat-based revenue could face structural pressure even as AI creates new consumption- and outcome-based monetization opportunities. The industry is therefore moving toward hybrid pricing models that layer usage-based economics onto existing subscriptions, but the central question remains whether AI revenue will be additive to existing seat revenue or increasingly substitute for it. This is an industry-wide transition. Gartner projects AI-influenced CRM spending will reach 8.5% of total CRM spending by 2027, suggesting the shift remains in its early stages and consistent with Agentforce and Data 360 still representing a relatively small share of Salesforce’s revenue today.

Competitive Position: Barriers to Entry and Moat Rating

Two dynamics may position Salesforce particularly well through this transition. First, large enterprises increasingly favor integrated platforms over point solutions, and Salesforce’s breadth across Sales, Service, Marketing, Data 360, and

Agentforce gives it an advantage over narrower AI-native competitors. Second, the combination of Data 360 as the unified data layer and Agentforce as the AI application layer embeds AI directly within customers' existing CRM data and workflows, potentially increasing switching costs as adoption deepens. Together, these capabilities provide a structural basis for Salesforce to retain customers while extending monetization beyond traditional seat-based pricing.

Applying the standard six-factor barriers-to-entry framework to enterprise CRM/AI software:

Factor	Strength	Applied to Salesforce / Enterprise CRM
Scale Economies	High	R&D, data-center, and AI-model costs are spread across a \$41.5B FY2026A revenue base; a new entrant faces a materially higher per-customer cost to build comparable AI capability.
Product Differentiation	High	25+ years of vertical-specific configuration and the AppExchange partner ecosystem create depth that's difficult to replicate quickly.
Capital Requirements	High	Matching Salesforce's combined CRM + data + AI platform requires billions in cumulative, multi-year investment, not a single product build.
Switching Costs	High	CRM systems are embedded in daily sales/service workflows and integrated with adjacent enterprise systems; migration is costly and operationally risky.
Distribution Channels	Moderate	Direct enterprise sales force plus a systems-integrator partner network (Accenture, Deloitte, and others) built over decades; replicable, but slowly.
Regulation / Government Policy	Low–Moderate	No direct regulatory barrier protects incumbents, though data-privacy and sovereignty rules modestly favor vendors with established compliance infrastructure.

Moat rating: Narrow (≈10-year sustainable advantage period). Four of the six factors above — scale, differentiation, capital requirements, and switching costs — favor Salesforce strongly, while distribution and regulation provide only modest support. Combined with the platform-consolidation and proprietary-data dynamics above, these advantages support a durable moat, but not yet a Wide one. A Wide rating would require confidence that Salesforce can sustain its competitive position for roughly two decades; the ongoing agentic-AI transition and competition from hyperscalers, particularly Microsoft, create too much uncertainty to support that conclusion today. The financial evidence is consistent with this assessment: Salesforce's ROIC–WACC spread only turned positive in FY2026A at +0.2%, not yet the kind of durable double-digit spread a Wide categorization would require.

A key disclosure gap is customer retention. Salesforce does not report net revenue retention, renewal rates, or a comparable retention metric in its 10-K, 10-Q, or investor materials. The retention case therefore rests on the qualitative switching-cost evidence above — particularly the integration of customer data and workflows across the Salesforce platform.

Overall, industry structure is not the primary source of investment risk: the CRM market is large, growing at a low-double-digit rate, and Salesforce remains its clear leader. The more important question is whether Salesforce can convert that competitive position into the growth, margin expansion, and returns on capital assumed in the valuation — the focus of the Company Analysis that follows.

This section draws on industry research from Fortune Business Insights, Gartner, and IDC's Worldwide Semiannual Software Tracker (market share figures per Salesforce's newsroom citations of the 2024, 2025, and 2026 IDC reports), condensed to the elements most relevant to Salesforce's specific investment case.

Company Analysis

Testing that moat with company-specific numbers.

This section tests whether Salesforce is translating its competitive position into durable growth, improving capital efficiency, and stronger returns on invested capital.

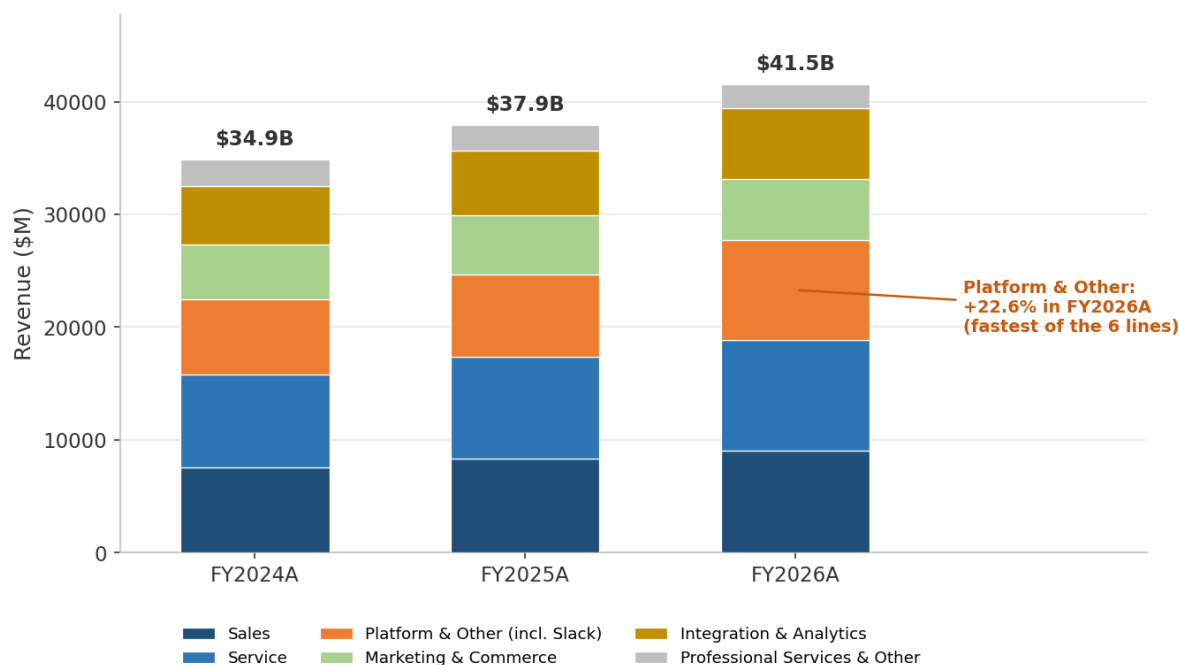
Growth: Reacceleration and Its Sources

Growth decelerated for three consecutive years before turning. Revenue growth fell from 18.3% in FY2023A to 8.7% in FY2025A, then improved to 9.6% in FY2026A and a 10.9% FY2027E guide (+132bps). The reacceleration became more visible in 1Q FY2027A, when revenue grew 13.3% — 370bps above the FY2026A full-year rate and the sharpest single-quarter acceleration in the model's forecast window.

Applying the Six Sources of Growth framework, the recent reacceleration appears to reflect a combination of volume, price/mix, and acquisitions rather than a single identifiable driver. While Salesforce does not disclose enough detail to fully separate those effects, business-line results suggest growth has become increasingly concentrated in Platform & Other, which accelerated to 22.6% in FY2026A.

Business Line (\$M)	FY2024A	FY2025A	FY2026A	FY25 YoY%	FY26 YoY%
Sales	7,580	8,322	9,028	9.8%	8.5%
Service	8,245	9,054	9,818	9.8%	8.4%
Platform & Other (incl. Slack)	6,611	7,247	8,882	9.6%	22.6%
Marketing & Commerce	4,912	5,281	5,428	7.5%	2.8%
Integration & Analytics (MuleSoft/Tableau)	5,189	5,775	6,232	11.3%	7.9%
Professional Services & Other	2,320	2,216	2,137	(4.5%)	(3.6%)
Total Revenue	34,857	37,895	41,525	8.7%	9.6%

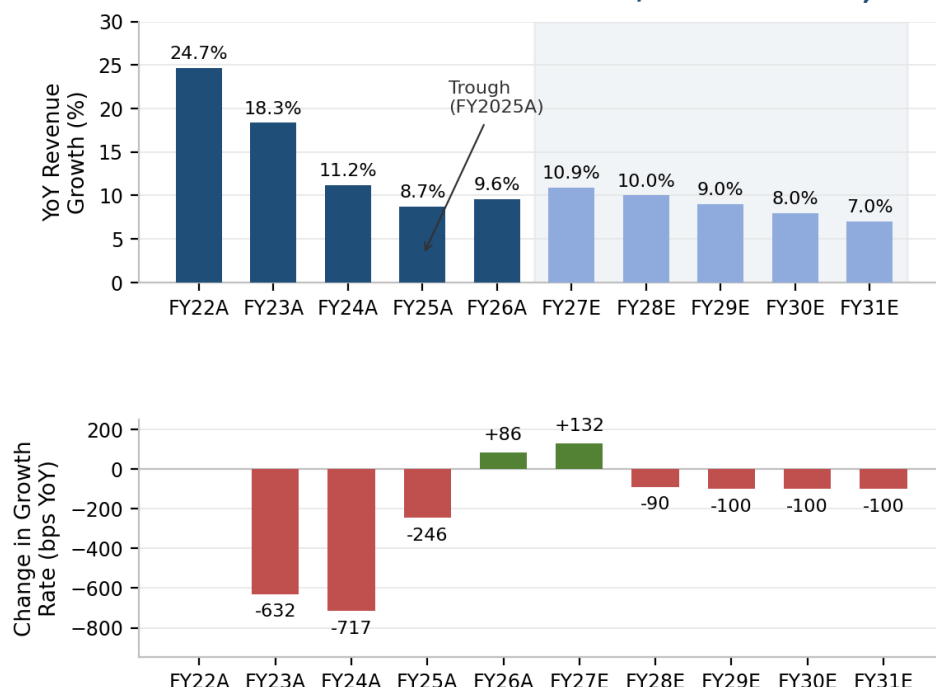
Salesforce Revenue by Business Line, FY2024A-FY2026A



Business-line revenue is per Salesforce's own "Disaggregation of Revenue" disclosure: FY2024A/FY2025A figures per Form 8-K, Exhibit 99.1, filed February 26, 2025 (Q4 FY2025 results); FY2025A/FY2026A figures per Form 8-K, Exhibit 99.1, filed February 25, 2026 (Q4 FY2026 results). The overlapping FY2025A figures match exactly across both filings. Total Revenue ties to the Data Box and Annual IS elsewhere in this report.

Because Salesforce does not separately disclose Agentforce or Data 360 revenue, Platform & Other provides only indirect evidence of AI monetization and may also reflect growth from Slack or Informatica. Both caveats argue for watching Agentforce ARR disclosures directly (Risks; Conclusion) rather than inferring AI traction from this table alone.

Revenue Growth Acceleration/Deceleration, FY2022A-FY2031E



Revenue growth (top) and change in growth rate (bottom), FY2022A–FY2031E, per the accompanying financial model's Growth Analysis tab. Shaded region denotes forecast years.

The bottom panel makes the inflection precise: growth decelerated for three consecutive years (FY2023A–FY2025A) — by 632bps and 717bps in the first two years before narrowing to a 246bps decline in FY2025A — before the deceleration itself reversed in FY2026A — the first positive change-in-growth reading in the actual data (+86bps). The Base Case assumes a further, smaller reacceleration in FY2027E (+132bps), followed by a return to steady, moderating deceleration through FY2031E. This second-derivative view provides the more conservative interpretation of the reacceleration described above: the model does not assume the FY2026A–FY2027E inflection compounds, only that it occurs once before fading back toward a gradual growth trajectory.

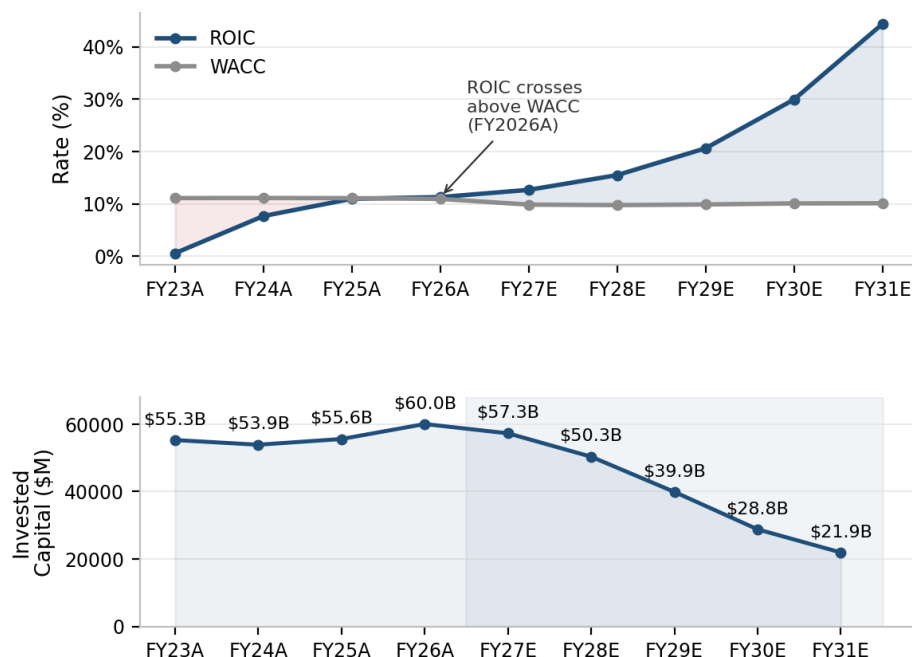
Capital Intensity and Returns on Capital

The business has become more capital-light over time. CapEx/Revenue fell from 2.7% in FY2022A to 1.4% in FY2026A, leaving Salesforce less capital intensive than many enterprise software peers. That matters beyond the income statement because capital-light businesses typically command premium valuation multiples.

The more important inflection is Salesforce's transition from consuming capital without earning its cost to creating economic value from it. The ROIC–WACC spread was deeply negative in FY2023A (–10.7%), narrowed to roughly breakeven by FY2025A (–0.3%), and turned positive for the first time in FY2026A (+0.2%). EVA confirms the same crossover, moving from –\$149M in FY2025A to +\$116M in FY2026A. The Base Case extends that improvement to a +33.8% ROIC–WACC spread and \$8.6B of EVA by FY2031E. Because WACC remains broadly stable, the forecast assumes improving operating performance—not a lower discount rate—drives value creation.

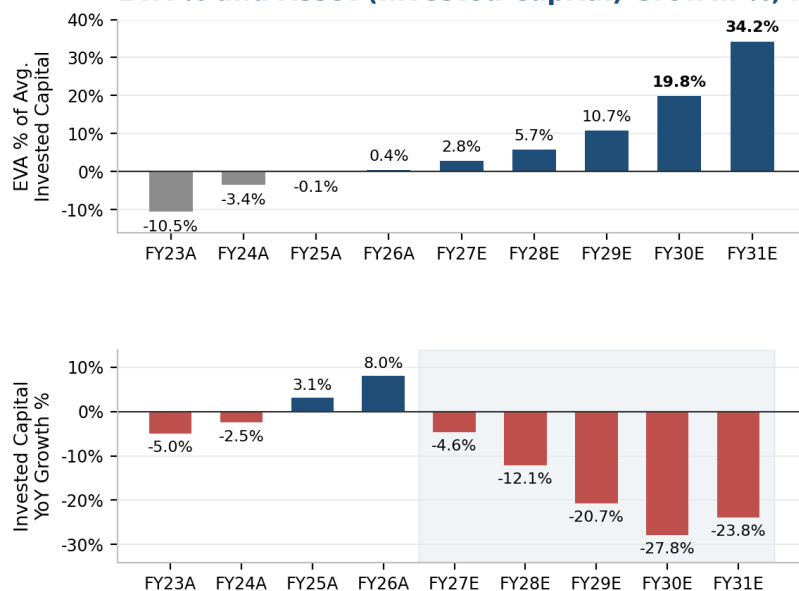
That improvement, however, is not purely operational. Invested capital declines from \$60.0B in FY2026A to \$22.0B in FY2031E as the equity base contracts following the debt-funded buyback. As a result, the widening ROIC–WACC spread reflects two forces: higher NOPAT increases the numerator, while a smaller invested capital base reduces the denominator. The charts below separate those effects.

ROIC vs. WACC, and Invested Capital, FY2023A-FY2031E



ROIC and WACC (top) and Invested Capital (bottom) per the accompanying financial model's ROIC & EVA tab (FY2022A–FY2026A from Annual IS/BS actuals; FY2027E–FY2031E extend the model's existing forecast methodology, detailed in that tab). Shaded region denotes forecast years.

EVA % and Asset (Invested Capital) Growth %, FY2023A-FY2031E



Per the professor's paired-chart convention (Lecture 5, Slide 7): EVA % (ROIC–WACC spread) above, and year-over-year growth of the underlying Invested Capital base below, FY2023A–FY2031E. The two move in opposite directions from FY2027E onward — EVA % keeps expanding on margin gains even as the capital base itself shrinks on the debt-funded buyback discussed above, which is why the ROIC–WACC spread (a return, not a dollar figure) continues improving through a period of negative asset growth.

Read together, the two charts show that Salesforce is creating greater economic value while deploying less capital. From FY2027E onward, EVA% continues to expand even as Invested Capital contracts, indicating that higher returns stem from improving profitability alongside capital discipline following the debt-funded buyback. **The rising ROIC therefore reflects both stronger operating performance and a smaller invested capital base—not simply more productive reinvestment.**

Management Execution, Capital Allocation, and Shareholder Return

Management has demonstrated an ability to convert strategic priorities into measurable operating improvements. GAAP operating margin increased from 2.1% in FY2022A to 20.1% in FY2026A through a period of workforce and real-estate restructuring, providing the clearest evidence of execution in this report. Early Agentforce adoption is also encouraging, with ARR reaching \$1.2 billion in 1Q FY2027A (+205% YoY), although current disclosures remain insufficient to determine whether that growth is additive to existing subscriptions or increasingly substitutes for them.

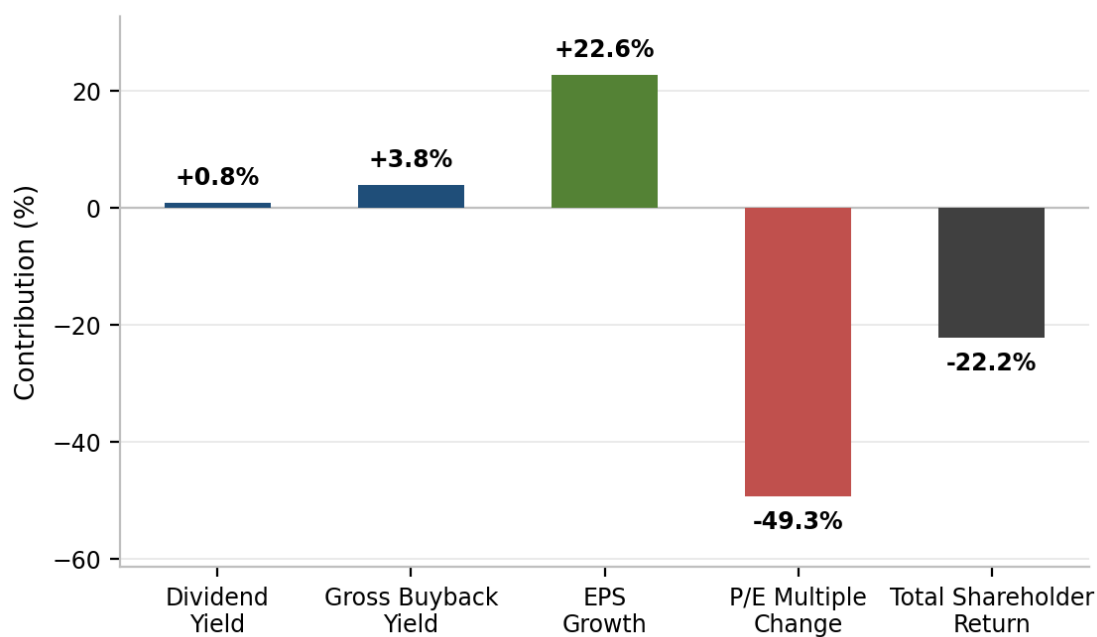
The same discipline is evident in capital allocation. Salesforce financed its FY2027A accelerated share repurchase with \$25 billion of senior notes carrying a 5.2% pre-tax cost of debt versus an 11.12% cost of equity. Whether that decision ultimately creates shareholder value depends on execution, but the transaction reflects a deliberate capital-allocation choice rather than a response to operating weakness.

Insider activity provides an independent signal broadly consistent with the valuation thesis. Board member Mason Morfit—co-CEO of ValueAct Capital, which has built roughly a \$1 billion Salesforce position since 2023—personally purchased \$25 million of stock in December 2025, while two additional directors acquired between \$500K and \$866K of shares between September 2025 and March 2026 (SEC Form 4 filings). Discretionary executive selling has remained limited to routine Rule 10b5-1 trading plans.

Note on the price used below: the decomposition uses Salesforce's FY2026 fiscal-year-end price (\$212.29, 1/30/2026) — not the \$192.98 price used everywhere else in this report — so it isolates one clean fiscal year rather than mixing FY2026A fundamentals with later FY2027A price action.

The FY2026A Total Shareholder Return decomposition shows why the valuation gap matters. Dividend Yield (0.8%) + Buyback Yield (3.8%) + Diluted EPS Growth (22.6%) + P/E Multiple Change (–49.3%) nets to approximately –22.2% total return for the year. Every fundamental component — dividends, buybacks, and earnings growth — was positive; multiple compression overwhelmed them. The multiple compressed further through the report's current price, consistent with the additional AI-related de-rating shown in the cover chart continuing into mid-2026, but that is a FY2027A development and therefore excluded from this FY2026A figure. The decomposition provides independent evidence that multiple compression—not deteriorating fundamentals—was the primary driver of FY2026A shareholder returns.

Shareholder Return Decomposition, FY2026A



FY2026A Total Shareholder Return decomposition, per the accompanying financial model's Total Shareholder Return tab. Bars sum to the total return figure at right.

Figures in this section are drawn from the accompanying financial model (Growth Analysis, ROIC & EVA, Business Line Trends, and Shareholder Returns tabs) unless otherwise cited; Agentforce ARR is per Salesforce, Inc., “Salesforce Delivers Record First Quarter Fiscal 2027 Results,” Form 8-K, Exhibit 99.1, filed May 27, 2026. Insider transaction data is per SEC Form 4 filings (data.sec.gov); Robin Washington's appointment is per Salesforce, Inc., “Salesforce Appoints Robin Washington as President and Chief Operating and Financial Officer,” press release, February 5, 2025.

Financial Analysis

Checking whether the balance sheet and cash flow corroborate it.

Financial Analysis turns to the financial statements to see whether they support the growth and capital-efficiency picture built in Company Analysis.

Profitability & Growth Quality

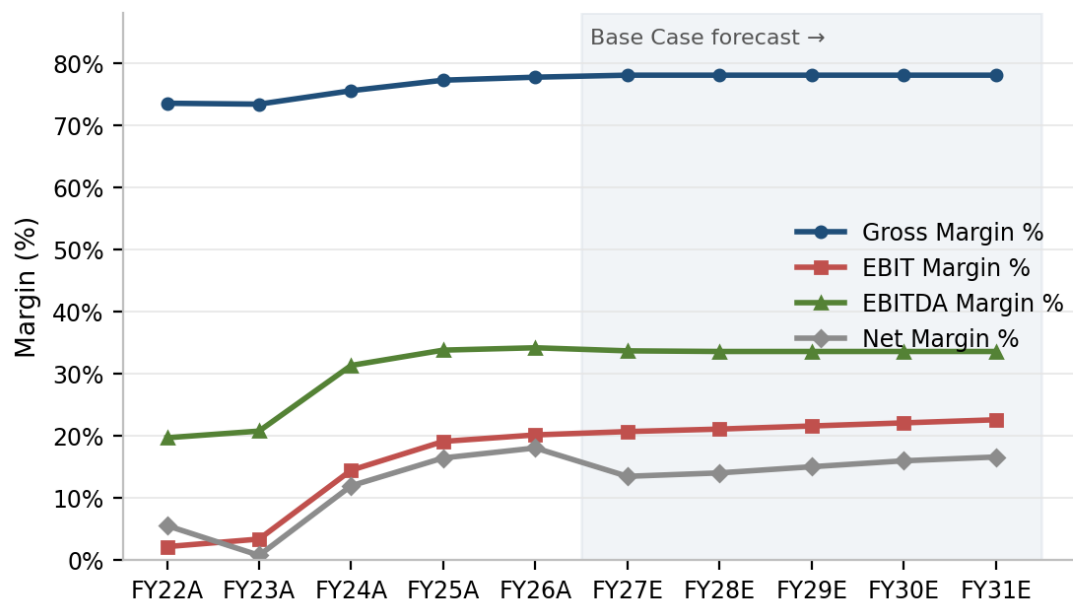
(\$ unless noted)	FY22A	FY23A	FY24A	FY25A	FY26A
Gross Margin	73.5%	73.3%	75.5%	77.2%	77.7%
SG&A % of Revenue	54.6%	51.3%	44.2%	42.5%	41.8%
D&A % of Revenue	17.5%	17.4%	16.9%	14.7%	14.0%
EBITDA Margin	19.6%	20.7%	31.3%	33.7%	34.1%
Operating Margin (EBIT %, GAAP)	2.1%	3.3%	14.4%	19.0%	20.1%
Pretax Margin (PBT %)	5.8%	2.1%	14.2%	19.6%	22.9%
Net Margin (PAT %)	5.5%	0.7%	11.9%	16.4%	18.0%
Diluted EPS	\$1.48	\$0.21	\$4.20	\$6.36	\$7.80
Rule of 40	n/a	38.5%	38.4%	41.5%	44.3%

Profitability has improved for structural—not cyclical—reasons. GAAP operating margin increased from 2.1% to 20.1%, and importantly, those gains did not come at the expense of growth. Rule of 40 remained above the industry's 40-point benchmark in three of the last four years and strengthened to 44.3% in FY2026A despite moderating revenue growth, indicating that the improvement reflects genuine operating leverage rather than simply sacrificing growth for profitability. EPS tells the same story once FY2023A is excluded. That year's \$0.21 diluted EPS was depressed by one-time restructuring charges, making any growth rate calculated from that near-zero base misleading. Diluted EPS instead increased from \$4.20 to \$7.80 between FY2024A and FY2026A (an 86% two-year increase), driven primarily by margin expansion rather than financial engineering, as diluted shares remained broadly stable over the period (984M→956M) before the FY2027E buyback.

The full margin cascade shows where that operating leverage actually came from — and it was not gross margin. SG&A declined 1,279bps (54.6%→41.8%) over the same five-year period in which gross margin improved just 420bps (73.5%→77.7%), meaning SG&A leverage contributed roughly three times as much to operating-margin expansion. This is consistent with the typical SaaS operating model, where sales and marketing costs grow more slowly than revenue as the go-to-market motion matures.

The model therefore assumes continued margin expansion at a moderating pace. While recent SG&A leverage supports further improvement, SG&A cannot decline indefinitely, and the transition to agentic AI may increase customer-acquisition, implementation, or retraining costs—a key uncertainty identified in the Industry Analysis.

Salesforce (CRM) — Margin Trend, FY2022A-FY2031E



Gross, EBIT, EBITDA, and Net margin, FY2022A–FY2031E, per the accompanying financial model's Annual IS and DCF tabs. Shaded region denotes forecast years.

The margin profile remains structurally consistent across the forecast, with one important exception. Gross, EBIT, and EBITDA margins continue their FY2022A–FY2026A improvement, while net margin temporarily declines from 18.0% in FY2026A to 13.4% in FY2027E before recovering to 16.5% by FY2031E. That divergence reflects higher interest expense from the FY2027A debt-funded buyback rather than weaker operating performance.

DuPont ROE Trend — Returns Corroborate the Story

(FY22A–FY27E)	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Net Margin	5.5%	0.7%	11.9%	16.4%	18.0%	13.4%
Asset Turnover	0.33x	0.32x	0.35x	0.37x	0.39x	0.41x
Equity Multiplier	1.62x	1.67x	1.68x	1.68x	1.79x	2.62x
ROE (DuPont)	2.9%	0.4%	7.0%	10.3%	12.4%	14.3%

The source of ROE improvement changes in FY2027E. Through FY2026A, ROE improvement comes from margin and turnover, not leverage — the equity multiplier barely moved (1.62x→1.79x) while net margin more than tripled. FY2027E changes that: the multiplier jumps to 2.62x as the debt-funded buyback shrinks the equity base, and that leverage effect is what holds ROE at 14.3% even as net margin declines (18.0%→13.4%) on the new interest expense.

Leverage & Coverage

(\$ unless noted)	FY22A	FY23A	FY24A	FY25A	FY26A
Debt / Equity	18.2%	16.1%	14.1%	13.8%	17.7%
Net Debt / EBITDA	0.0x	(0.5x)	(0.5x)	(0.4x)	0.1x

Salesforce entered the FY2027A debt issuance from an unusually conservative balance sheet. Debt/Equity remained within a 14–18% range over the prior five years, while true Net Debt/EBITDA tells an even sharper story. Salesforce carried essentially no net debt in FY2022A (0.0x) and remained in a net cash position for the next three years (FY2023A–FY2025A: (0.5x), (0.5x), (0.4x)), before moving to just 0.1x in FY2026A. **Leverage does not build gradually into the FY2027A debt issuance—it jumps there, from a near-zero base, to roughly 1.9x post-buyback (Data Box).** Even after the transaction, Net Debt/EBITDA remains comfortably below the ~4x level generally viewed as a leverage-risk threshold.

On coverage, the model's own FY2027E driver puts interest expense at \$2.04B against \$15.5B of projected EBITDA — roughly 7.6x — though this is a forward-looking check rather than a historical trend. The workbook captures net interest and other income/expense together for FY2022A–FY2026A rather than gross interest expense alone, so a clean historical coverage ratio cannot be produced without overstating precision. Even after the debt-funded buyback, Salesforce remains comfortably within conventional credit thresholds.

Cash Flow

Cash generation has strengthened alongside profitability. Free cash flow nearly tripled from \$5.3B to \$14.4B between FY2022A and FY2026A (28.5% CAGR), supported by strong operating cash flow conversion and consistently low capital expenditures. That cash generation has funded Salesforce's historical buyback program while preserving capacity to service and gradually reduce the FY2027A debt issuance. Together with the profitability, returns, and leverage analysis above, the cash flow statement confirms that Salesforce's improving economics are supported by cash generation rather than accounting earnings alone.

Figures in this section are drawn entirely from the accompanying financial model (Annual IS, Annual BS, Annual CF, and Data Box tabs) — no external sources were used in this section.

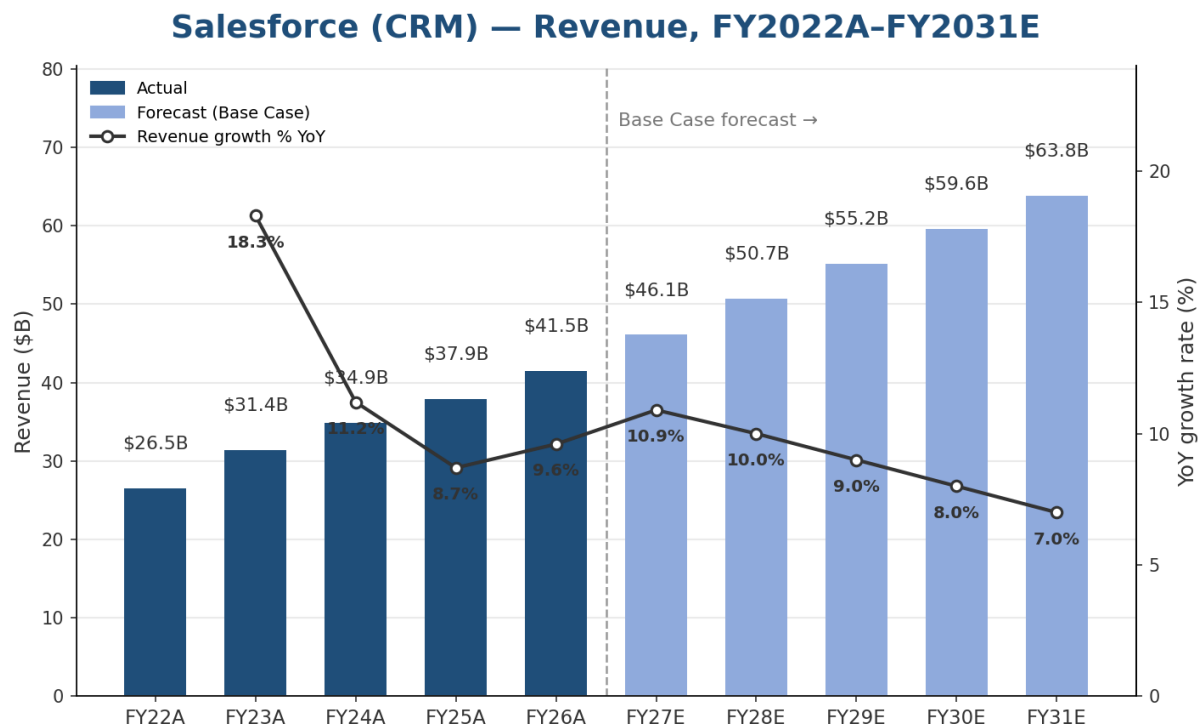
Forecast Assumptions

The three assumptions that actually move the target price.

The DCF and Scenario Analysis depend primarily on three assumptions: **revenue growth, EBIT margin, and the discount rate.** Tax Rate, CapEx, and D&A are discussed more briefly because they have a comparatively limited effect on valuation.

Revenue Growth — 10.9% → 7.0% (FY2027E–FY2031E)

The forecast assumes revenue growth moderates from 10.9% in FY2027E to 7.0% by FY2031E, below Salesforce's historical four-year CAGR of 11.9% (FY2022A–FY2026A). This extends the recent reacceleration without assuming it persists indefinitely and remains broadly consistent with mature enterprise-software peers, including Oracle (8.4%) and SAP (7.6%).



Revenue, FY2022A–FY2031E, actual vs. Base Case forecast, per the accompanying financial model's Annual IS and DCF tabs. Year-over-year growth rate shown above each bar.

The forecast taper begins from an already-decelerating base, not from peak growth. The same three-year deceleration and FY2026A reacceleration documented in Company Analysis are visible directly in the historical bars (18.3%→8.7%→9.6%), and the Base Case simply moderates that reacceleration rather than assuming it persists at its FY2026A pace or extrapolating the 1Q FY2027A result (13.3%) forward. That is the conservative posture adopted throughout the Forecast Assumptions: the model assumes the inflection is real, but not that it becomes the new long-run growth rate.

EBIT Margin — 20.6% → 22.5% (FY2027E–FY2031E)

The forecast assumes EBIT margin expands from 20.6% in FY2027E to 22.5% by FY2031E, extending the structural improvement observed through FY2026A. Because NOPAT is derived from EBIT, margin expansion directly supports higher ROIC and valuation. A flat margin assumption would reduce both, although Salesforce had already crossed into positive economic value creation by FY2026A.

Assumption	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue Growth %	10.9%	10.0%	9.0%	8.0%	7.0%
EBIT Margin %	20.6%	21.0%	21.5%	22.0%	22.5%

WACC & Terminal Growth

The WACC build (10.13%) is detailed in the DCF subsection of Valuation and is not repeated here. Terminal growth of 3.0% sits modestly above long-run nominal GDP growth, reflecting a standard terminal-value convention for a company expected to retain the structural competitive advantages discussed in Industry Analysis, rather than an assumption unique to Salesforce's AI opportunity.

Tax Rate, CapEx, and D&A are held close to trailing actuals because they are not meaningful swing factors in the sensitivity analysis presented in Valuation. The Tax Rate is fixed at 21.7% (the FY2026A effective rate); CapEx remains at 1.5% of revenue, close to the FY2026A actual of 1.4% and consistent with the capital-light profile developed in Company Analysis; and D&A tapers from 13.0% to 11.0% of revenue as amortization from legacy acquisitions gradually rolls off.

Figures in this section are drawn from the accompanying financial model (DCF, Data Box, ROIC & EVA, and Comps Analysis tabs).

Valuation

Turning the thesis into a price.

The primary valuation is a DCF-derived target price of \$223.23 per share, implying 15.7% upside from the August 5, 2026 closing price of \$192.98. Six valuation methods converge on a wider but directionally consistent range of \$146–\$362 per share, providing independent cross-checks around that central estimate. The DCF's perpetuity-growth output anchors the valuation because it is the only method built entirely from company-specific, individually defended assumptions rather than external market multiples. The remaining five methods serve as valuation cross-checks rather than primary estimates.

Discounted Cash Flow — Primary Method

The DCF derives the report's primary valuation because it is built entirely from company-specific assumptions developed throughout the preceding analysis. WACC is 10.13%, blending an 11.12% cost of equity (4.63% risk-free rate + 1.18 beta × 5.5% equity risk premium) with a 4.07% after-tax cost of debt, weighted 86.0% equity / 14.0% debt by market value. The Base Case tapers revenue growth from 10.9% (FY2027E) to 7.0% (FY2031E) while expanding EBIT margin from 20.6% to 22.5%, against a 3.0% terminal growth rate. **Together, these assumptions produce the report's primary target price of \$223.23 per share.**

DCF Valuation Bridge	
Sum of PV of FCF (FY2027E–FY2031E)	\$59,169M
PV of Terminal Value	\$162,709M
Enterprise Value	\$221,878M
(–) Net Debt	(\$27,443M)
Equity Value	\$194,435M
Diluted Shares Outstanding	871M
Implied Price per Share	\$223.23
Current Stock Price (8/5/26)	\$192.98
Implied Upside/(Downside)	+15.7%

The market is pricing a materially more pessimistic set of assumptions. A reverse DCF shows the current \$192.98 share price is only consistent with either an 11.10% WACC (roughly 100bps above the 10.13% estimate) or a terminal growth rate near 1.7%, holding the other variable at its Base Case level. Neither assumption is consistent with a business already generating 20%+ operating margins and a positive ROIC–WACC spread.

A terminal-value cross-check using the peer exit multiple (20.51x TEV/EBITDA) instead of perpetuity growth implies \$362.44 per share. Because that approach imports its terminal assumption from market pricing rather than Salesforce's own economics, it serves as a valuation cross-check rather than the primary estimate.

Comparable Company Analysis

CRM trades at a discount to its five direct peers (Workday, Oracle, ServiceNow, SAP, Adobe) on every earnings-based multiple, while trading roughly in line with the peer median on revenue: 13.8x TEV/EBITDA versus a 20.5x peer median (–32.7%), 22.5x P/E versus 32.8x (–31.2%), and 4.71x EV/Revenue versus 4.31x (+9.2%). The market therefore appears willing to value Salesforce's revenue similarly to peers, while assigning a meaningful discount to the profits and cash flows generated from that revenue. That distinction is reinforced by P/FCF — market capitalization divided by FY2026A free cash flow — where CRM trades at just 11.7x, roughly half its reported 22.5x P/E, reflecting the extent to which stock-based compensation (\$3.5B, or 8.5% of FY2026A revenue) and working-capital timing keep free cash flow ahead of GAAP net income. **Taken together, the multiples reaffirm the market continues to apply a material discount to Salesforce's earnings power.**

Company	Ticker	TEV/EBITDA	P/E	EV/Revenue
Salesforce (CRM)	CRM	13.8x	22.5x	4.7x
Workday	WDAY	34.5x	55.6x	3.9x
Oracle	ORCL	20.5x	32.8x	8.5x
ServiceNow	NOW	33.2x	62.9x	8.1x
SAP	SAP	14.3x	23.5x	4.6x
Adobe	ADBE	9.9x	13.3x	4.0x
HubSpot	HUBS	65.7x	236.9x	3.0x
Peer Median (excl. CRM)		20.5x	32.8x	4.3x
Peer High		34.5x	62.9x	8.5x
Peer Low		9.9x	13.3x	3.0x
CRM Premium / (Discount) to Median		–32.7%	–31.2%	+9.2%

TEV/EBITDA and P/E medians/high/low exclude HubSpot (65.7x TEV/EBITDA, 236.9x P/E) — its near-breakeven FY2025A earnings make those two multiples a thin-denominator artifact; HubSpot is included in the EV/Revenue median. All medians exclude CRM itself, consistent with the DCF's Exit Multiple treatment above. One EPS note for internal consistency: both CRM's own 22.5x P/E above and the Comps — P/E Implied cross-check below use current diluted shares (871M, post the 1Q FY2027A ~\$25B accelerated buyback) rather than FY2026A's as-reported weighted-average count (~956M) — consistent with the current price, current shares, and current WACC used everywhere else in this Valuation section. Only the Data Box's historical EPS trend line (FY2022A–FY2026A) uses each year's own as-reported weighted-average share count, since restating prior years' EPS with today's share count would distort that comparison instead.

Converting those multiples into implied share prices leads to the same conclusion. Applying the peer-median TEV/EBITDA multiple to Salesforce's own EBITDA implies \$301.88 per share, while applying the peer-median P/E to Salesforce's diluted EPS of \$8.56 implies \$280.59 per share. Both sit comfortably above the current share price of \$192.98, providing price-

independent cross-checks because neither relies on Salesforce's own trading multiple. Both are carried through to the six-method Valuation Summary later in this report.

Method	Implied Price/Share	Description
Comps — TEV/EBITDA Implied	\$301.88	Peer-median TEV/EBITDA (20.5x, excl. CRM) x CRM FY2026A EBITDA (\$14,159M), less net debt (\$27,443M)
Comps — P/E Implied	\$280.59	Peer-median P/E (32.8x, excl. CRM) x CRM current-share diluted EPS (\$8.56)

Residual Income (Cross-Check)

Residual Income implies \$170.85 per share, making it the second-lowest estimate in the six-method range. The lower valuation primarily reflects the accounting mechanics of the method: the FY2027E accelerated share repurchase sharply reduces book equity, while goodwill and intangible assets comprise a large share of beginning equity. It is therefore presented as a conservative lower-bound cross-check rather than the primary valuation anchor.

Residual Income Build (\$M)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Beginning Book Equity	59,142	27,411	22,588	17,939	13,553
Net Income	6,178	7,075	8,260	9,493	10,551
Cost of Equity	11.12%	11.12%	11.12%	11.12%	11.12%
Equity Charge	6,577	3,048	2,512	1,995	1,507
Residual Income	(399)	4,027	5,748	7,498	9,044
PV of Residual Income	(378)	3,438	4,416	5,184	5,627
Residual Income Valuation Bridge					
Beginning Book Equity					\$59,142M
Sum of PV of Residual Income					\$18,286M
Terminal Residual Income					\$114,718M
PV of Terminal Value					\$71,378M
Implied Equity Value					\$148,806M
Diluted Shares Outstanding					871M
Implied Value per Share					\$170.85

EVA-Based Valuation (Cross-Check)

Using the same NOPAT, WACC, mid-year discount factors, and Invested Capital trajectory developed throughout the report, the EVA-based valuation implies an enterprise value of \$154,523M and an implied price of \$145.90 per share. As with Residual Income above, the same capital-structure effect explains why EVA rises through the forecast even as the capital charge itself falls. Therefore, EVA is also used as a conservative cross-check.

EVA Build (\$M)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
NOPAT	7,431	8,333	9,299	10,276	11,245
Beg. Invested Capital	60,016	57,261	50,339	39,911	28,825
Capital Charge	6,080	5,801	5,100	4,043	2,920
EVA	1,351	2,532	4,199	6,233	8,325
Discount Factor	0.9529	0.8652	0.7856	0.7134	0.6478
PV of EVA	1,287	2,190	3,299	4,446	5,393
EVA-Based Valuation Bridge					
Beginning Invested Capital					\$60,016M
Sum of PV of EVA					\$16,615M
Terminal EVA					\$8,575M
PV of Terminal Value					\$77,892M
Enterprise Value					\$154,523M
(-) Net Debt					(\$27,443M)
Equity Value					\$127,080M
Diluted Shares Outstanding					871M
Implied Price per Share					\$145.90

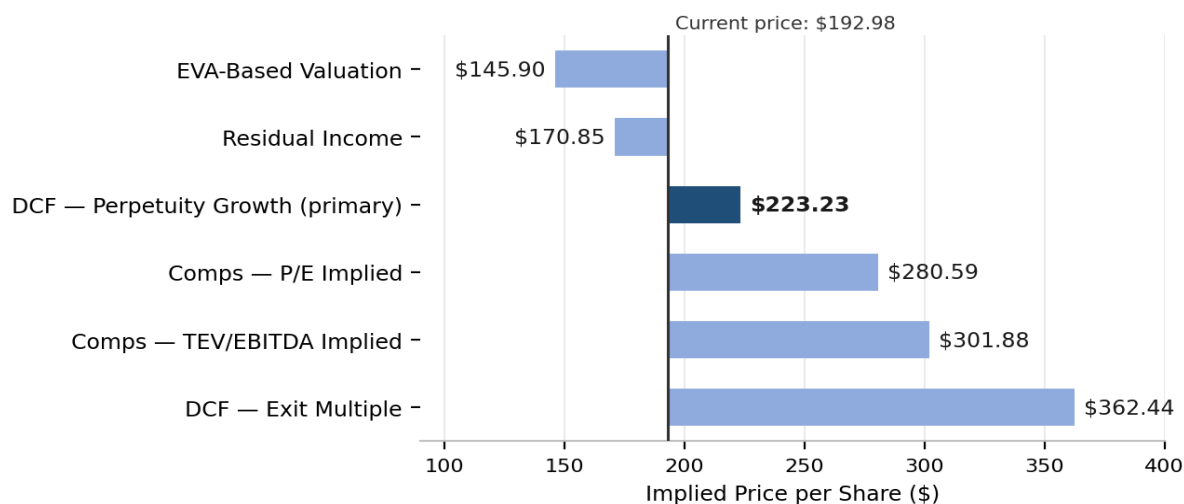
NOPAT and Invested Capital trace to the accompanying financial model's ROIC & EVA tab (rows 8 and 13, the same figures used throughout Company Analysis); the full build above matches the model's DCF tab, rows 142–167.

Valuation Summary — Blended Target

\$223.23—the DCF perpetuity-growth output—remains the stated primary target, implying 15.7% upside. The remaining five methods bracket that estimate across a \$145.90–\$362.44 range, while the simple average across all six methods is \$247.48. **Taken together, the methods reinforce rather than challenge the primary valuation:** the DCF sits comfortably within the range and below the blended average, supporting its use as a conservative anchor rather than an aggressive estimate.

Method	Implied Price/Share	Description
DCF — Perpetuity Growth (primary)	\$223.23	Company-specific FCF; individually defended assumptions
DCF — Exit Multiple	\$362.44	Same cash flows; terminal value from peer market multiple
Comps — TEV/EBITDA Implied	\$301.88	Peer-median TEV/EBITDA (excl. CRM) × CRM EBITDA, less net debt
Comps — P/E Implied	\$280.59	Peer-median P/E (excl. CRM) × CRM current-share diluted EPS
Residual Income	\$170.85	Equity-basis cross-check; sensitive to post-ASR book value
EVA-Based Valuation	\$145.90	Invested Capital + PV of future EVA; reconciles with DCF except for the FY2027E buyback effect
Range (Low–High)	\$145.90–\$362.44	
Simple Average	\$247.48	

Football Field — All Six Methods vs. Current Price



Scenario Analysis — Bear / Base / Bull

The scenario range remains asymmetric in Salesforce's favor. The Bear Case (4.5–6.5% tapering revenue growth, EBIT margin capped near 19.6%) implies 21.3% downside (\$151.94) from the current price, while the Base Case implies 15.7% upside (\$223.23) and the Bull Case (up to 12.5% growth, 26% terminal EBIT margin) implies 43.7% upside (\$277.29). The Bull Case's 12.5% growth and 26% terminal margin reflect a scenario in which Agentforce develops into a material, consumption-priced revenue stream, while AI-driven efficiencies in support and implementation generate greater operating leverage than assumed in the Base Case. **The downside case is meaningful, but the upside opportunity remains substantially larger.**

	Bear	Base	Bull
Implied Price per Share	\$151.94	\$223.23	\$277.29
Implied Upside/(Downside)	-21.3%	+15.7%	+43.7%

Figures in this section are drawn from the accompanying financial model (DCF, Comps Analysis, Residual Income, Valuation Summary, and Scenario Analysis tabs). Peer financials in Comps Analysis are sourced from company filings and public market data as cited in that worksheet; no other external sources were used.

Risks

What would prove this rating wrong.

A BUY recommendation is only as credible as the conditions under which it would prove wrong. Wherever possible, the risks below are quantified.

AI Monetization & Substitution Risk

The principal risk to this thesis is that agentic AI erodes seat-based subscription economics faster than Agentforce and Data 360 can replace that revenue through consumption-based pricing. Agentforce ARR reached \$1.2 billion in 1Q FY2027A — about 2.6% of FY2027E revenue — so there is not yet enough evidence to determine whether AI revenue is primarily additive or substitutive. Rule of 40 is the clearest metric to monitor: a break below that level alongside continued Agentforce growth would be the strongest indication that AI monetization is weakening overall economics rather than strengthening them. That uncertainty is compounded by a leadership transition: Adam Evans, who led the development of Agentforce, left Salesforce in early 2026 and was succeeded by Madhav Thattai, introducing execution risk in the product most central to the report's AI thesis.

Competitive Risk

Salesforce's gradual market-share decline (21.7%→20.7%→20.0%, 2023–2025) could accelerate if competitors execute more effectively through the AI transition. While Salesforce remains the clear market leader, continued share erosion would weaken the assumptions underlying the forecast, particularly sustained pricing power and margin expansion.

Execution & Margin Risk

Much of the FY2022A–FY2026A margin expansion followed workforce and real-estate restructuring, meaning future improvement depends on operating leverage continuing rather than additional cost reductions. The DCF sensitivity analysis quantifies that risk: holding revenue growth near its ~9.0% five-year average, if EBIT margin simply remains around the FY2026A level (~20%) instead of progressing toward the assumed ~21.5% average, the implied valuation falls from approximately \$224 to \$213 per share.

Financial Leverage & Interest Rate Risk

The 1Q FY2027A debt issuance introduced refinancing and interest-rate risk that did not exist when Salesforce operated with a near-net-cash balance sheet. Even so, Net Debt/EBITDA of 1.94x remains comfortably below the ~4x level commonly viewed as a leverage-risk threshold, and the two nearest maturities — \$3.5B of 4.5% notes due March 2028 and \$4.25B of 4.65% notes due March 2029 (SEC Form 424B2) — remain several years away. The more immediate valuation sensitivity is the discount rate itself: increasing WACC by 100bps (10.13%→11.13%) lowers the DCF target from \$223.23 to approximately \$192.24, a decline of roughly 14%, based on the model's own sensitivity analysis.

Valuation Concentration Risk

Approximately 73% of enterprise value in the DCF comes from terminal value rather than the five explicit forecast years, making the valuation more sensitive to long-run WACC and terminal-growth assumptions than to any individual near-term forecast.

Sector Re-Rating / Timing Risk

Salesforce's valuation discount may persist even if the company executes against the Base Case. Established software franchises could be undergoing a broader multiple reset as investors reassess long-term SaaS growth and AI's impact on traditional seat-based economics. If the discount reflects lower sector-wide terminal growth expectations rather than primarily Salesforce-specific concerns, company-level execution may be insufficient to drive a re-rating within the 12-month target horizon. The BUY thesis could therefore prove fundamentally correct while taking longer than expected to be reflected in the share price.

Regulatory Risk

Regulatory risk is difficult to quantify precisely, but a hypothetical 50bp increase in compliance costs reduces the target price by roughly \$3–4 per share, suggesting regulatory costs alone are unlikely to be thesis-breaking. Increasing scrutiny of AI deployment and enterprise data usage is an emerging industry-wide risk that Salesforce is not uniquely exposed to but is not insulated from either, given the scale of proprietary customer data managed across its platform. Changes to privacy regulation, AI governance, or enterprise data requirements could slow adoption or increase compliance costs beyond those assumed in the forecast.

Figures in this section are drawn from the accompanying financial model (DCF sensitivity tables, Data Box, and ROIC & EVA tabs) and Industry Analysis (IDC market-share data), unless otherwise cited. Agentforce ARR is per Salesforce, Inc., "Salesforce Delivers Record First Quarter Fiscal 2027 Results," Form 8-K, Exhibit 99.1, filed May 27, 2026. Debt maturity detail is per an SEC Form 424B2 filing. Adam Evans's departure and Madhav Thattai's appointment are per public reporting on Salesforce leadership changes, early 2026.

Conclusion

What would confirm the thesis, what would break it, and where the real bet sits.

What Would Confirm the Thesis

Four observable developments over the next 12 months would strengthen confidence in the investment case: **Rule of 40 remaining above the 40-point threshold as Agentforce scales beyond its current base, the ROIC–WACC spread continuing to widen from its FY2026A inflection, CRM market share stabilizing after several years of gradual decline, and the FY2027A debt-funded buyback being absorbed without a material deterioration in leverage.** Together, these outcomes would indicate that Salesforce is sustaining both its operating momentum and financial discipline while navigating the transition to AI-driven monetization.

What Would Break It

Two developments would most directly invalidate the investment case. The first is a deterioration in Rule of 40 despite continued Agentforce growth, indicating that AI revenue is substituting for existing subscription economics rather than adding to them. The second is a market that continues to price Salesforce closer to the Reverse DCF's implied 11.10% discount rate than the model's 10.13% WACC, suggesting that the apparent valuation gap reflects a genuinely higher-risk business rather than a market mispricing.

Where the Real Bet Is

The investment case ultimately rests on a simple claim. Salesforce does not need a permanent competitive advantage to justify a BUY rating. It only needs the market to be undervaluing the economic value created during the early years of its competitive advantage. The report concludes that Salesforce possesses a Narrow moat supported by switching costs, scale, and proprietary customer data—not because its competitive position is expected to remain unchallenged indefinitely, but because those advantages should remain durable long enough to support continued improvements in profitability and

returns on capital. If AI monetization proves additive rather than substitutive and the company continues executing against those operating improvements, today's valuation offers meaningful upside. If not, the market's more conservative pricing will prove justified.

The investment case is therefore not that Salesforce is fundamentally misunderstood, but that current market expectations are more pessimistic than the operating evidence presently supports.

Figures in this section are restated from Valuation, Risks, Company Analysis, and Industry Analysis; no new calculations are introduced here.

Appendix: Financial Statements

This appendix contains Salesforce's actual, reported historical financial statements, presented at full line-item detail, together with the FY2027E forecast and FY2027E–FY2031E forecast build referenced throughout the Forecast Assumptions and Valuation sections. All figures are sourced from Salesforce's Form 10-K and 10-Q filings, cross-checked against SEC EDGAR XBRL company-facts data, as compiled in the accompanying financial model (Salesforce Fundamental Analysis Final.xlsx).

Annual Income Statement (FY2021A–FY2027E)

(\$M unless noted)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E
Revenue	21,251	26,492	31,352	34,857	37,895	41,525	46,051
Revenue Growth %	n/a	24.7%	18.3%	11.2%	8.7%	9.6%	10.9%
Cost of Revenue	5,446	7,026	8,360	8,541	8,643	9,270	10,131
Gross Profit	15,805	19,466	22,992	26,316	29,252	32,255	35,920
Gross Margin %	74.4%	73.5%	73.3%	75.5%	77.2%	77.7%	78.0%
Sales & Marketing	9,674	11,855	13,526	12,877	13,257	14,345	15,427
Research & Development	3,598	4,465	5,055	4,906	5,493	5,993	6,677
General & Administrative	2,087	2,598	2,553	2,534	2,836	3,000	3,224
Other Operating Expenses	0	0	828	988	461	586	1,105
Total Operating Expenses	15,359	18,918	21,962	21,305	22,047	23,924	26,433
Operating Income (EBIT)	446	548	1,030	5,011	7,205	8,331	9,487
Operating Margin %	2.1%	2.1%	3.3%	14.4%	19.0%	20.1%	20.6%
(+) Depreciation & Amortization	n/a	4,646	5,454	5,884	5,572	5,828	5,987
EBITDA	n/a	5,194	6,484	10,895	12,777	14,159	15,473
EBITDA Margin %	n/a	19.6%	20.7%	31.3%	33.7%	34.1%	33.6%
Interest & Other Income (Expense), Net	2,115	984	-370	-61	233	1,189	-1,600
Pretax Income	2,561	1,532	660	4,950	7,438	9,520	7,887
Income Tax Provision (Benefit)	-1,511	88	452	814	1,241	2,063	1,709
Effective Tax Rate %	-59.0%	5.7%	68.5%	16.4%	16.7%	21.7%	21.7%
Net Income	4,072	1,444	208	4,136	6,197	7,457	6,178
Net Margin %	19.2%	5.5%	0.7%	11.9%	16.4%	18.0%	13.4%
Diluted EPS	\$4.38	\$1.48	\$0.21	\$4.20	\$6.36	\$7.80	\$7.29
Diluted Shares Outstanding	930	974	997	984	974	956	847

FY2027E is the model's driver-based forecast (linked to the DCF Base Case); FY2021A reflects limited disclosure detail as noted on the Annual IS tab. Source: Salesforce Form 10-K filings and SEC EDGAR XBRL, cross-checked against stockanalysis.com (Fiscal.ai).

Annual Balance Sheet (FY2021A–FY2027E)

(\$M unless noted)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E
Cash & Cash Equivalents	6,195	5,464	7,016	8,472	8,848	7,327	6,528
Short-Term Investments	n/a	5,073	5,492	5,722	5,184	2,238	2,902
Accounts Receivable, Net	n/a	9,739	10,755	11,414	11,945	14,339	15,902
Other Current Assets	n/a	2,574	3,132	3,466	3,750	4,318	4,789
Total Current Assets	n/a	22,850	26,395	29,074	29,727	28,222	30,121
Property, Plant & Equipment, Net	2,459	5,695	6,592	6,055	5,393	5,123	4,856
Goodwill	26,318	47,937	48,568	48,620	51,283	57,941	59,291
Intangible Assets, Net	n/a	8,978	7,125	5,278	4,428	6,815	5,717
Other Long-Term Assets	n/a	9,749	10,169	10,796	12,097	14,204	14,087
Total Assets	66,301	95,209	98,849	99,823	102,928	112,305	114,072
Accounts Payable	n/a	5,470	6,743	6,111	6,658	8,253	9,153
Deferred Revenue (Unearned Revenue)	n/a	15,628	17,376	19,003	20,743	24,317	26,968
Other Current Liabilities	n/a	690	1,772	1,517	579	4,548	5,044
Total Current Liabilities	n/a	21,788	25,891	26,631	27,980	37,118	41,164
Long-Term Debt	2,673	10,592	9,419	8,427	8,433	10,439	39,280
Other Long-Term Liabilities	n/a	4,698	5,180	5,119	5,342	5,606	6,217
Total Liabilities	24,808	37,078	40,490	40,177	41,755	53,163	86,661
Total Shareholders' Equity	41,493	58,131	58,359	59,646	61,173	59,142	27,411
Total Liabilities & Shareholders' Equity	66,301	95,209	98,849	99,823	102,928	112,305	114,072

FY2021A limited to line items separately disclosed in a comparable standardized format (see Annual BS tab notes). FY2027E reflects the model's forecast, including the 1Q FY2027A debt-funded accelerated share repurchase.

Debt & Leverage Ratios

(\$ in millions unless noted)	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Net Debt (\$M) = Total Debt – Cash – ST Investments	55	(3,089)	(5,767)	(5,599)	874	29,850
Net Debt / EBITDA	0.0x	(0.5x)	(0.5x)	(0.4x)	0.1x	1.9x
Debt / Equity	18.2%	16.1%	14.1%	13.8%	17.7%	143.3%

Net Debt is each year's own total debt less cash and short-term investments (not a constant current figure divided across years). FY2027E reflects the \$25B senior notes issued in 1Q FY2027A and the resulting compressed equity base. This is the same series used in Leverage & Coverage (Financial Analysis); shown again here alongside the raw balance sheet for direct reference.

Annual Cash Flow Statement (FY2021A–FY2026A)

(\$M unless noted)	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Net Income	n/a	1,444	208	4,136	6,197	7,457
Depreciation & Amortization	n/a	4,646	5,454	5,884	5,572	5,828
Stock-Based Compensation	n/a	2,779	3,279	2,787	3,183	3,509
Other Adjustments	n/a	-1,211	239	277	121	-1,017
Change in Accounts Receivable	n/a	-1,824	-995	-659	-490	-2,160
Change in Accounts Payable	n/a	507	528	-478	1,089	1,014
Change in Unearned Revenue	n/a	2,629	1,744	1,623	1,584	2,924
Change in Other Operating Activities	n/a	-2,970	-3,346	-3,336	-4,164	-2,559
Cash Flow from Operations	4,800	6,000	7,111	10,234	13,092	14,996
Capital Expenditures	n/a	-717	-798	-736	-658	-594
Purchases of Investments	n/a	-7,392	-5,327	-4,257	-7,418	-5,721
Proceeds from Sale of Investments	n/a	8,449	4,575	3,748	7,647	6,993
Payments for Business Acquisitions	n/a	-14,876	-439	-82	-2,734	-9,268
Cash Flow from Investing	n/a	-14,536	-1,989	-1,327	-3,163	-8,590
Long-Term Debt Issued	n/a	7,906	n/a	0	0	6,000
Long-Term Debt Repaid	n/a	-1,357	-423	-1,811	-1,603	-584
Issuance of Common Stock	n/a	1,289	861	1,954	1,540	1,039
Repurchase of Common Stock	n/a	0	-4,000	-7,620	-7,829	-12,596
Common Dividends Paid	n/a	n/a	n/a	0	-1,537	-1,587
Other Financing Activities	n/a	n/a	n/a	0	0	-351
Cash Flow from Financing	n/a	7,838	-3,562	-7,477	-9,429	-8,079
Effect of Exchange Rate Changes	n/a	-33	-8	26	-124	152
Net Change in Cash	n/a	-731	1,552	1,456	376	-1,521
Free Cash Flow (CFO – CapEx)	n/a	5,283	6,313	9,498	12,434	14,402

Actuals only, per assignment scope — no forecast column. FY2021A limited to Cash Flow from Operations, the only line disclosed in comparable format for that year.

Cash Flow Forecast Build — Unlevered FCF, Base Case (FY2027E–FY2031E)

(\$M)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	46,051	50,656	55,215	59,633	63,807
EBIT	9,487	10,638	11,871	13,119	14,357
Taxes	-2,056	-2,305	-2,573	-2,843	-3,111
NOPAT	7,431	8,333	9,299	10,276	11,245
(+) D&A	5,987	6,332	6,626	6,858	7,019
(-) CapEx	-691	-760	-828	-894	-957
(-) Δ NWC	91	92	91	88	83
Unlevered FCF	12,817	13,997	15,188	16,328	17,391

Source: accompanying financial model's DCF tab (rows 58–66), Base Case. This is the same NOPAT / D&A / CapEx / ΔNWC build discounted in the DCF (Valuation section) — the model does not project a full GAAP cash flow statement beyond FY2027E, so this driver-level build is shown instead.

Quarterly Income Statement (1Q FY2024A–1Q FY2028E)

(\$M unless noted)	1Q FY2024A	2Q FY2024A	3Q FY2024A	4Q FY2024A	1Q FY2025A	2Q FY2025A	3Q FY2025A	4Q FY2025A	1Q FY2026A	2Q FY2026A	3Q FY2026A	4Q FY2026A	1Q FY2027A	2Q FY2027E	3Q FY2027E	4Q FY2027E	1Q FY2028E
Revenue	8,247	8,603	8,720	9,287	9,133	9,325	9,444	9,993	9,829	10,236	10,259	11,201	11,133	11,277	11,302	12,340	12,246
Revenue Growth % YoY	n/a	n/a	n/a	n/a	10.7%	8.4%	8.3%	7.6%	7.6%	9.8%	8.6%	12.1%	13.3%	10.2%	10.2%	10.2%	10.0%
Cost of Revenue	2,125	2,113	2,155	2,148	2,162	2,159	2,105	2,217	2,265	2,242	2,255	2,508	2,570	2,420	2,434	2,707	2,827
Gross Profit	6,122	6,490	6,565	7,139	6,971	7,166	7,339	7,776	7,564	7,994	8,004	8,693	8,563	8,857	8,868	9,633	9,419
Gross Margin %	74.2%	75.4%	75.3%	76.9%	76.3%	76.8%	77.7%	77.8%	77.0%	78.1%	78.0%	77.6%	76.9%	78.5%	78.5%	78.1%	76.9%
Sales & Marketing	3,154	3,113	3,173	3,437	3,239	3,224	3,323	3,471	3,429	3,443	3,456	4,017	3,769	3,677	3,691	4,290	4,146
Research & Development	1,207	1,220	1,204	1,275	1,368	1,349	1,356	1,420	1,460	1,481	1,433	1,619	1,627	1,650	1,597	1,804	1,790
General & Administrative	638	632	632	632	647	711	711	767	697	734	667	902	740	792	719	973	814
Other Operating Expenses	711	49	55	173	8	99	56	298	36	4	260	286	80	7	485	533	88
Total Operating Expenses	5,710	5,014	5,064	5,517	5,262	5,383	5,446	5,956	5,622	5,662	5,816	6,824	6,216	6,126	6,491	7,600	6,838
Operating Income (EBIT)	412	1,476	1,501	1,622	1,709	1,783	1,893	1,820	1,942	2,332	2,188	1,869	2,347	2,730	2,376	2,033	2,582
Operating Margin %	5.0%	17.2%	17.2%	17.5%	18.7%	19.1%	20.0%	18.2%	19.8%	22.8%	21.3%	16.7%	21.1%	24.2%	21.0%	16.5%	21.1%
Interest & Other Income (Expense), Net	-86	16	-14	23	158	54	-147	168	32	74	324	759	374	-663	-663	-663	-663
Pretax Income	326	1,492	1,487	1,645	1,867	1,837	1,746	1,988	1,974	2,406	2,512	2,628	2,721	2,068	1,714	1,370	1,919
Income Tax Provision	127	225	263	199	334	408	219	280	433	519	426	685	614	448	371	273	416
Effective Tax Rate %	39.0%	15.1%	17.7%	12.1%	17.9%	22.2%	12.5%	14.1%	21.9%	21.6%	17.0%	26.1%	22.6%	21.7%	21.7%	19.9%	21.7%
Net Income	199	1,267	1,224	1,446	1,533	1,429	1,527	1,708	1,541	1,887	2,086	1,943	2,107	1,620	1,342	1,098	1,503
Net Margin %	2.4%	14.7%	14.0%	15.6%	16.8%	15.3%	16.2%	17.1%	15.7%	18.4%	20.3%	17.3%	18.9%	14.4%	11.9%	8.9%	12.3%
Diluted EPS	\$0.20	\$1.28	\$1.25	\$1.47	\$1.56	\$1.47	\$1.58	\$1.75	\$1.59	\$1.96	\$2.19	\$2.07	\$2.42	\$1.90	\$1.61	\$1.35	\$1.89
Diluted Shares Outstanding	988	986	981	983	985	973	965	974	970	962	952	940	871	852	833	814	795

2Q FY2027E–1Q FY2028E are the model's forecast, phased from the Annual IS FY2027E total using FY2026A seasonal weights. All 13 actual quarters reconcile exactly to the corresponding Annual IS actuals.

Quarterly Balance Sheet (1Q FY2024A–1Q FY2028E)

(\$M unless noted)	1Q FY2024A	2Q FY2024A	3Q FY2024A	4Q FY2024A	1Q FY2025A	2Q FY2025A	3Q FY2025A	4Q FY2025A	1Q FY2026A	2Q FY2026A	3Q FY2026A	4Q FY2026A	1Q FY2027A	2Q FY2027E	3Q FY2027E	4Q FY2027E	1Q FY2028E
Cash & Cash Equivalents	9,155	6,772	6,453	8,472	9,958	7,682	7,997	8,848	10,928	10,365	8,978	7,327	8,935	8,396	7,579	6,528	5,861
Short-Term Investments	4,822	5,625	5,410	5,722	7,712	4,954	4,760	5,184	6,480	5,007	2,345	2,238	2,902	2,902	2,902	2,902	2,902
Accounts Receivable, Net	4,632	5,400	4,850	11,414	4,273	5,391	4,741	11,945	4,354	5,596	5,474	14,339	5,080	8,687	12,295	15,902	19,509
Other Current Assets	3,372	3,341	3,489	3,466	3,661	3,835	3,927	3,750	4,104	4,363	4,266	4,318	4,696	4,727	4,758	4,789	4,820
Total Current Assets	21,981	21,138	20,202	29,074	25,604	21,862	21,425	29,727	25,866	25,331	21,063	28,222	21,613	24,712	27,533	30,121	33,092
Property, Plant & Equipment, Net	6,341	6,451	6,325	6,055	5,761	5,710	5,583	5,393	5,260	5,182	5,096	5,123	5,039	4,978	4,917	4,856	4,794
Goodwill	48,567	48,566	48,614	48,620	48,940	48,941	49,093	51,283	51,281	51,438	52,457	57,941	59,291	59,291	59,291	59,291	59,291
Intangible Assets, Net	6,654	6,182	5,737	5,278	4,869	4,415	4,119	4,428	4,033	3,669	3,491	6,815	6,650	6,339	6,028	5,717	5,407
Other Long-Term Assets	9,998	10,110	10,144	10,796	11,006	11,252	11,175	12,097	12,170	11,953	13,037	14,204	14,087	14,087	14,087	14,087	14,087
Total Assets	93,541	92,447	91,022	99,823	96,180	92,180	91,395	102,928	98,610	97,573	95,144	112,305	106,680	109,407	111,856	114,072	116,671
Accounts Payable	5,733	5,059	5,308	6,111	5,520	5,220	5,331	6,658	5,804	5,397	5,850	8,253	6,582	7,439	8,296	9,153	10,009
Deferred Revenue (Unearned Revenue)	15,121	14,237	12,564	19,003	16,061	15,222	13,472	20,743	17,799	16,555	14,996	24,317	20,363	22,565	24,766	26,968	29,169
Other Current Liabilities	772	1,509	1,522	1,517	1,568	559	572	579	593	580	564	4,548	557	2,053	3,548	5,044	6,539
Total Current Liabilities	21,626	20,805	19,394	26,631	23,149	21,001	19,375	27,980	24,196	22,532	21,410	37,118	27,502	32,056	36,610	41,164	45,718
Long-Term Debt	9,421	8,424	8,426	8,427	8,429	8,430	8,432	8,433	8,435	8,436	8,438	10,439	39,280	39,280	39,280	39,280	39,280
Other Long-Term Liabilities	5,082	5,136	5,112	5,119	4,919	5,116	5,063	5,342	5,313	5,277	5,275	5,606	5,663	5,848	6,032	6,217	6,402
Total Liabilities	36,129	34,365	32,932	40,177	36,497	34,547	32,870	41,755	37,944	36,245	35,123	53,163	72,445	77,184	81,922	86,661	91,400
Total Shareholders' Equity	57,412	58,082	58,090	59,646	59,683	57,633	58,525	61,173	60,666	61,328	60,021	59,142	34,235	32,223	29,934	27,411	25,272
Total Liabilities & Shareholders' Equity	93,541	92,447	91,022	99,823	96,180	92,180	91,395	102,928	98,610	97,573	95,144	112,305	106,680	109,407	111,856	114,072	116,671

1Q FY2027A reflects the ~\$25B debt-funded accelerated share buyback commenced that quarter. 2Q FY2027E–1Q FY2028E are the model's forecast.

Quarterly Cash Flow Statement (1Q FY2024A–1Q FY2027A)

(\$M unless noted)	1Q FY2024A	2Q FY2024A	3Q FY2024A	4Q FY2024A	1Q FY2025A	2Q FY2025A	3Q FY2025A	4Q FY2025A	1Q FY2026A	2Q FY2026A	3Q FY2026A	4Q FY2026A	1Q FY2027A
Net Income	199	1,267	1,224	1,446	1,533	1,429	1,527	1,708	1,541	1,887	2,086	1,943	2,107
Depreciation & Amortization	1,724	1,366	1,344	1,450	1,396	1,433	1,339	1,404	1,388	1,361	1,399	1,680	1,569
Stock-Based Compensation	696	724	693	674	750	810	820	803	814	793	819	1,083	857
Other Adjustments	141	29	72	n/a	-37	37	217	-96	63	-6	-263	-811	-558
Change in Accounts Receivable	6,123	-768	550	-6,564	7,162	-1,136	655	-7,171	7,591	-1,242	123	-8,632	9,431
Change in Accounts Payable	-1,403	-376	172	1,129	-755	220	32	1,592	-1,007	-217	0	2,238	-1,897
Change in Unearned Revenue	-2,255	-884	-1,677	6,439	-2,955	-839	-1,761	7,139	-2,944	-1,244	-1,559	8,671	-3,999
Change in Other Operating Activities	-732	-550	-846	-1,206	-847	-1,062	-846	-1,409	-970	-592	-289	-708	-809
Cash Flow from Operations	4,493	808	1,532	3,403	6,247	892	1,983	3,970	6,476	740	2,316	5,464	6,701
Capital Expenditures	-243	-180	-166	-147	-163	-137	-204	-154	-179	-135	-139	-141	-145
Purchases of Investments	-473	-1,980	-764	-1,040	-3,455	-654	-1,306	-2,003	-2,235	-1,292	-1,489	-705	-1,414
Proceeds from Sale of Investments	1,063	1,008	958	719	1,305	3,432	1,472	1,438	847	2,646	3,125	375	828
Payments for Business Acquisitions	0	0	-82	0	-338	0	-179	-2,217	0	-54	-978	-8,236	-1,452
Cash Flow from Investing	347	-1,152	-54	-468	-2,651	2,641	-217	-2,936	-1,567	1,165	519	-8,707	-2,183
Long-Term Debt Issued	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	24,842
Long-Term Debt Repaid	-1,111	-463	-114	-123	-120	-1,285	-100	-98	-179	-99	-160	-146	-130
Issuance of Common Stock	449	362	274	869	533	202	321	484	294	232	239	274	230
Repurchase of Common Stock	-2,054	-1,949	-1,925	-1,692	-2,133	-4,335	-1,285	-76	-2,633	-2,225	-3,801	-3,937	-27,248
Common Dividends Paid	0	0	0	0	-388	-384	-382	-383	-402	-399	-395	-391	-365
Other Financing Activities	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-12	-127	-212	-250
Cash Flow from Financing	-2,716	-2,050	-1,765	-946	-2,108	-5,802	-1,446	-73	-2,920	-2,503	-4,244	1,588	-2,921
Effect of Exchange Rate Changes	17	11	-32	30	-2	-7	-5	-110	91	35	22	4	11
Net Change in Cash	2,141	-2,383	-319	2,019	1,486	-2,276	315	851	2,080	-563	-1,387	-1,651	1,608
Free Cash Flow (CFO – CapEx)	4,250	628	1,366	3,256	6,084	755	1,779	3,816	6,297	605	2,177	5,323	6,556

Actuals only, per assignment scope — no forecast columns. All 13 quarters reconcile exactly to the corresponding Annual CF actuals.

Sources

Salesforce, Inc. Form 10-K and 10-Q filings (FY2022A–FY2026A) and Form 8-K quarterly earnings releases (Exhibit 99.1), filed with the U.S. Securities and Exchange Commission; SEC EDGAR XBRL company-facts API (data.sec.gov, CIK 0001108524); Salesforce Form 424B2 prospectus supplement (senior notes offering, used for debt maturity detail in the Company Analysis and Risks sections); stockanalysis.com (Fiscal.ai) standardized financial statement data, cross-checked against the underlying SEC filings above; Fortune Business Insights, Gartner, and IDC market research (CRM/enterprise software market sizing, used in the Industry Overview); and the accompanying financial model (Salesforce Fundamental Analysis Final.xlsx), which is the single source for every forecast, valuation, and derived figure in this report.

All figures in this appendix are drawn directly from the accompanying financial model; no figure here is estimated independently of that workbook. Negative values are shown with a leading minus sign, consistent with the model's own convention.

AI Prompts Summary

Summary of AI Prompts Used

1. Equity Research Perspective

Used AI by instructing it to think and respond as an experienced equity research analyst and editor. Prompts focused on evaluating whether the investment thesis was well supported, whether arguments flowed logically, whether conclusions followed from the financial evidence, and whether the report reflected the style and structure of a professional sell-side equity research report.

2. Writing and Editorial Refinement

Used AI to improve readability, sentence flow, paragraph structure, transitions, and overall presentation while preserving the underlying financial analysis, assumptions, investment thesis, and conclusions. AI was instructed to edit rather than rewrite the report and to maintain a professional equity research writing style.

3. Financial Modeling and Valuation Support

Used AI to discuss and implement valuation methodologies, including Discounted Cash Flow (DCF), Reverse DCF, Residual Income Valuation, Exit Multiple Valuation, ROIC and Economic Value Added (EVA), a CAPM/bond-yield cost-of-equity sanity check, Total Shareholder Return decomposition, Growth Decomposition, Business Line Trends, Scenario Analysis (Bear/Base/Bull), and Comparable Company Analysis. AI was used to explain methodologies, review implementation, and help organize the analysis.

4. Cross-Checking and Verification

Used AI as a quality assurance tool to cross-check calculations, formulas, assumptions, and reported figures against the Excel financial model. Prompts focused on identifying inconsistencies, verifying that numbers matched across the Excel workbook and written report, confirming that formulas were linked correctly, and ensuring that valuation outputs and supporting analyses were internally consistent.

5. Report Organization and Formatting

Used AI to improve document organization, section sequencing, chart placement, appendix formatting, table sizing, page layout, and overall report presentation. AI was also instructed to ensure that exhibits remained self-contained and professionally formatted.

6. Final Quality Review

Used AI to perform a final editorial and technical review of the report, checking for logical consistency, clarity of argument, formatting issues, citation consistency, and overall professionalism prior to submission.